

Even in the recent era when the returns on the stocks of many corporations have made little progress—and have often regressed—CEO compensation has remained at truly awesome levels, but with what justification? As noted earlier, the earnings of our corporations as a group have provided a relatively steady share of GDP over the years, not a growing share that might justify some rise in CEO compensation, to say nothing of the leap from 42 times the average worker's compensation to 280 times of a few years ago in 2004. Since then, that relationship has risen back to 520 times, and the average CEO compensation has risen to an even cooler \$18.8 million, almost double the 2004 level.

If CEOs, as a group, are—and must be—average, what explains their soaring pay scales? One argument is that their pay is simply part of a trend in which the pay of the most talented and fortunate members of a variety of groups—for example, movie and television stars, and professional baseball, basketball, and football players—has increased by even more. Of course these star athletes and entertainment personalities are paid fortunes. But they are paid either directly or indirectly by their fans, and often by the owners of teams or networks out of their own pockets and out of their own self-interest. (The owners make big money off these stars!) It's an arm's-length deal. CEOs, however, are paid by directors not out of their own pockets but with other people's money, a clear example of the agency problem in our investment system, and our focus on business conduct rather than professional conduct.

A Lack of Accountability

The root problem is that corporate shareholders have played little, if any, role in setting executive pay. A long time ago, Benjamin Graham got this issue exactly right. He observed that in terms of legal rights, “the stockholders as a class are king. Acting as a majority they can hire and fire managements and bend them completely to their will.” But in terms of the assertion of these rights in practice, “stockholders are a complete washout . . . they show neither intelligence nor